

Seeking shelter in stormy markets

Volatility is part of investing but you can make it less a part of your life.

Fidelity Viewpoints



Key takeaways

Stocks with relatively low volatility and investment-grade bonds have historically fallen less during volatile markets than lower-quality stocks or bonds.

Incorporating securities with these characteristics into a portfolio may potentially mean smaller price drops in down markets but more muted gains in up markets.

Lower-volatility portfolios may reduce losses in down markets but won't eliminate them.

Portfolios which seek to maximize return for a given level of risk have historically delivered somewhat higher returns over the long term but with sharper ups and downs.

Volatility in the global stock markets is a reminder that what goes up can also come down. But simply remembering that stocks can fall as well as rise does not necessarily make the experience less uncomfortable. For many people, dips in the value of our savings can cause anxiety or even drive us to make panic-driven mistakes such as selling stocks in falling markets.

Fortunately, there are things you can do to help reduce the impact of market volatility on your portfolio, while still trying to capture some of the growth potential offered by investing. But as it's often said, there's no "free lunch" in investing. That means you'll likely have to give up some potential return in exchange for lower volatility.

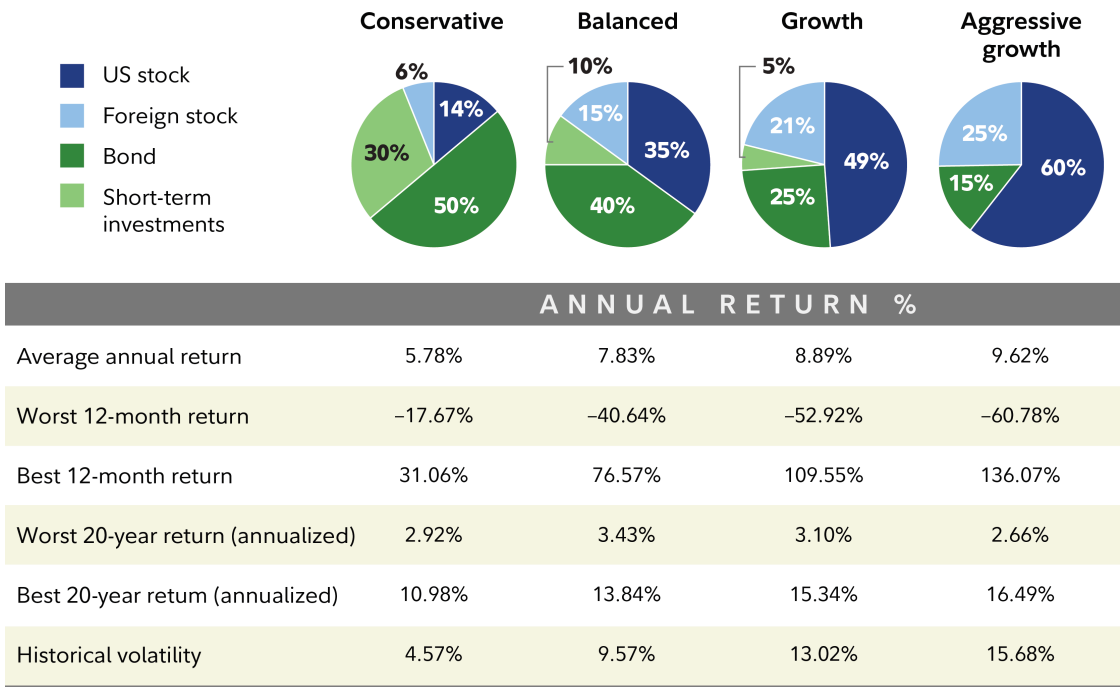
What is defensive investing?

A professional investment manager can help you reduce your exposure to volatility by building what is called a defensive portfolio. Callum Henderson manages defensive strategies for [Fidelity's Personalized Portfolios](#). He says, "A defensive investment approach attempts to reduce the impact of falling markets on an investor. Defensive portfolios aim to limit losses in a down market but will typically trail in a strong up market. Over longer time periods, a defensive portfolio aims to capture much of the growth of the market, but with a smoother ride."

Should you [Log in](#) defensively or for total return?

One of the best ways investors can seek to reduce exposure to volatility is by choosing a mix of stocks, bonds, and cash that has historically been less volatile than a typical portfolio. Your mix of assets should be chosen based on your financial and personal goals, the amount of time before you need to access the money in your portfolio, and the level of risk you are comfortable with. Most investors choose what is called a total return portfolio. That means a mix of assets chosen to seek the greatest possible return for a given level of risk. Typically, total return portfolios contain significant allocations to stocks and have historically delivered higher average returns, but also suffered bigger losses during down markets.

The risk and return of different investment mixes

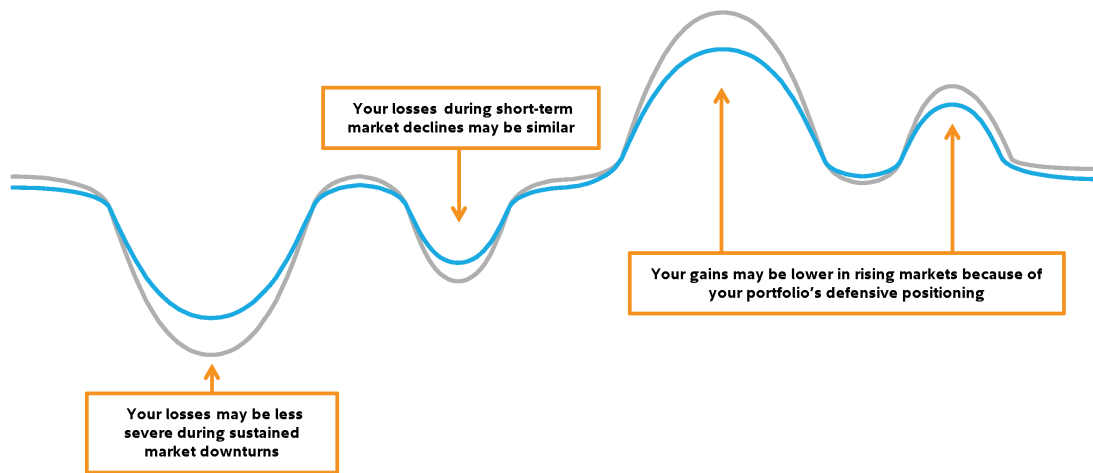


Past performance is no guarantee of future results. Returns include the reinvestment of dividends and other earnings. This chart is for illustrative purposes only. It is not possible to invest directly in an index. Time periods for best and worst returns are based on calendar year. The purpose of the target asset mixes is to show how target asset mixes may be created with different risk and return characteristics to help meet an investor's goals. You should choose your own investments based on your particular objectives and situation. Remember, you may change how your account is invested. Be sure to review your decisions periodically to make sure they are still consistent with your goals. The rates of return used in this example are not guaranteed.

Data Source: Fidelity Investments and Morningstar Inc. Hypothetical value of assets held in untaxed portfolios invested in US stocks, foreign stocks, bonds, or short-term investments. Historical returns and volatility of the stock, bond, and short-term asset classes are based on the historical performance data of various unmanaged indexes from 1926 through the latest year-end (2025) data available from Morningstar. US stocks represented by IA S&P 500 TR USD Ext Jan 1926-Jan 1987, then by Dow Jones US Total Market data starting Feb 1987 to Present. Foreign stocks represented by IA S&P 500 TR USD Ext Jan 1926-Dec 1969, MSCI EAFE Jan 1970-Nov 2000, then MSCI ACWI Ex USA GR USD Dec 2000 to Present. Bonds represented by US Intermediate-Term Government Bond Index Jan 1926-Dec 1975, then Barclays Aggregate Bond Jan 1976 - Present. Short-term/cash represented by 30-day US Treasury bills beginning in Jan 1926 to Present.

If you are uncomfortable with the amount of potential exposure to volatility that the stocks in your portfolio represent, you could move to a portfolio with a larger proportion of bonds. Historically, more bond-heavy portfolios have fallen less during market declines but have also experienced smaller gains over longer time periods.

Another option would be to try to change your pattern of returns, meaning you try to achieve similar or slightly lower returns over the long term, but with smaller drops and gains—essentially looking for a smoother ride. That's where a professionally managed defensive portfolio comes in. When building a defensive portfolio, a manager looks for stocks and bonds with specific characteristics that might be able to try to help reduce the volatility of your returns.

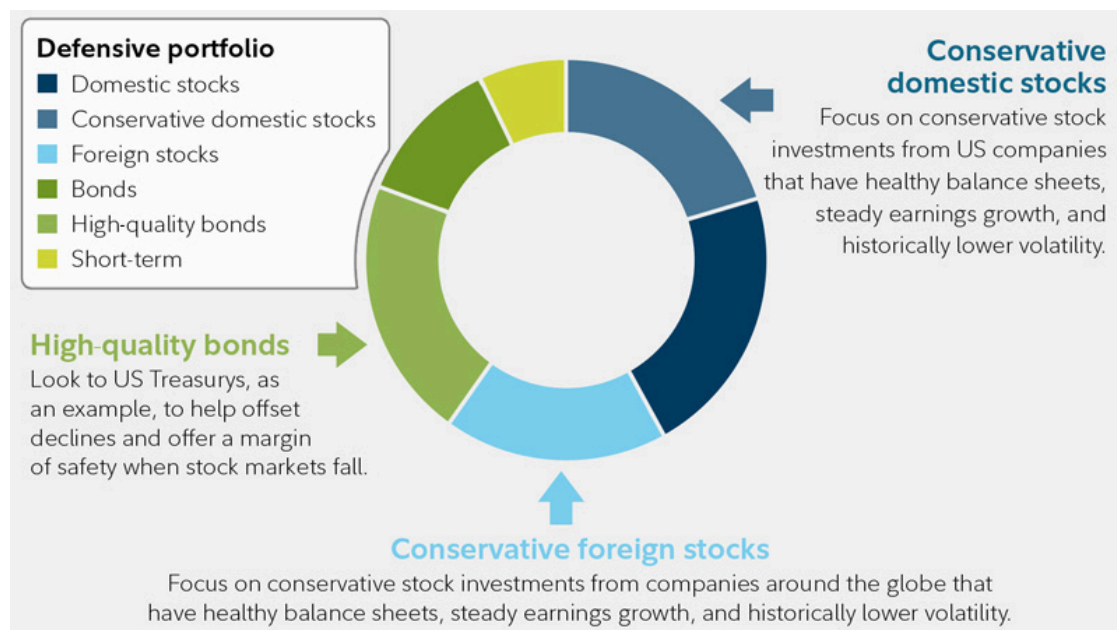


In this scenario, "your losses" refers to the value of your portfolio. For illustration only; not indicative of any investment outcome.
Source: Fidelity Investments.

How to build a defensive portfolio

There are a number of ways to make a portfolio more defensive. One technique is to target stocks with lower levels of historical volatility. Some companies, due to industry, competitive position, or strong financials, have records of lower volatility in down markets. Targeting those stocks can help to limit downside risk during selloffs.

Similarly, a bond fund manager might select securities that can offer protection from specific risks that seem relevant for a given market environment. For example, if inflation is high, a manager might select Treasury inflation-protected securities (TIPS) to help protect the portfolio's value. If inflation and growth are both low, as in a recession, the manager might choose investment-grade bonds that could offer protection from the risk that the bonds' issuer might encounter financial difficulties and not be able to pay interest on its bonds.



For illustration only.

How to play defense with defensive ETFs and mutual funds

If you are a do-it-yourself investor who wants to seek lower volatility, Fidelity also offers a variety of defensive mutual funds such as Fidelity® US Low Volatility Equity Fund ([FULVX](#)) and Fidelity® Hedged Equity Fund ([FEQHX](#)) and [minimum volatility exchange-traded funds \(ETFs\)](#), in

Log in addition to professional managed portfolios. Other ETFs, such as Fidelity® Dynamic Buffered Equity ETF (FBUF) and Fidelity® Hedged Equity ETF (FHED), also can be used to build defensive portfolios.

Bear in mind, though, that a defensive portfolio won't eliminate day-to-day dips in the market. Instead, it's designed to help reduce losses in more severe down markets, without giving up much in terms of long-term performance potential.

"Investing offers a powerful tool for wealth creation, and can help you meet your goals," says Henderson. "But to capture that potential, you need to be able to live with your portfolio. If you are nervous about the markets, a defensive investment portfolio might help you be able to stick with your plan despite rocky markets."

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Stock markets are volatile and can fluctuate significantly in response to company, industry, political, regulatory, market, or economic developments. Investing in stock involves risks, including the loss of principal.

Past performance is no guarantee of future results.

Diversification and/or asset allocation do not ensure a profit or protect against a loss.

Investment decisions should be based on an individual's own goals, time horizon, and tolerance for risk.

In general, the bond market is volatile, and fixed income securities carry interest rate risk. (As interest rates rise, bond prices usually fall, and vice versa. This effect is usually more pronounced for longer-term securities). Fixed income securities also carry inflation risk, liquidity risk, call risk and credit and default risks for both issuers and counterparties. Lower-quality fixed income securities involve greater risk of default or price changes due to potential changes in the credit quality of the issuer. Foreign investments involve greater risks than U.S. investments, and can decline significantly in response to adverse issuer, political, regulatory, market, and economic risks. Any fixed-income security sold or redeemed prior to maturity may be subject to loss.

Including high quality bonds and conservative stocks in a defensive investment approach may help reduce volatility in your diversified portfolio, providing a smoother overall investment experience, and may help keep you on track to reach your long term goals.

High quality bonds may generate positive returns during equity downturns. Intermediate-term US treasuries, an example of high quality bonds, tend to move in the opposite direction than stocks during significant and sustained stock market declines. When stocks fall sharply and trend lower, US Treasuries often rise. High quality bonds can help offset stock declines within a diversified portfolio.

Conservative stocks tend to display a smaller degree of price movement than the broader stock market. Minimum volatility stocks, an example of conservative stocks, tend to be associated with companies that have relatively stable businesses. Historically, minimum volatility stocks hold up better when the broader stock market falls. During up markets, when broader stock market returns rise sharply, minimum volatility stocks also tend to rise, but more modestly than the broader stock market.

Concentration risk — The degree of diversification varies significantly from one ETP to another. Certain ETPs target a small universe of securities, such as a specific region or market sector. These ETPs are generally subject to greater market volatility, as well as to the specific risks associated with that sector, region, or other focus.

Correlation risk — Asset classes that have been historically uncorrelated could become positively correlated. This could produce unexpected results for investors and might lead to a decrease in the overall level of diversification in an investor's portfolio.

Derivatives risk — Certain ETPs use derivatives to track an underlying index or other benchmark, such as a particular commodity or currency. The prices of derivatives' contracts are inherently volatile, and even small price movements might result in large losses to the ETP.

Foreign investment risk — Foreign securities are subject to interest rate, currency exchange rate, economic, and political risks. All these risks are magnified in emerging markets.

Liquidity risk — The liquidity of an ETP is not only a function of the trading of the ETP itself, but is also directly linked to the liquidity of its underlying securities. Therefore, the degree of liquidity can vary significantly from one ETP to another. An investor's losses might be exacerbated if no liquid market exists for the ETP's shares at the time the investor wishes to sell them.

Market risk — ETPs are subject to market volatility and the risks of their underlying securities, which might include the risks associated with investing in smaller companies, foreign securities, commodities, and fixed income investments. Yield and investment return vary; therefore, an investor's shares, when redeemed or sold, might be worth more or less than their original cost. Diversification and asset allocation might not protect against market risk.

Secondary-market risk — Secondary-market trading in ETP shares might be halted by a stock exchange because of market conditions, extreme market volatility, or other reasons. Further, investors have no assurance that the ETP will continue to meet the requirements necessary to maintain the listing or trading of its shares or that these requirements will remain unchanged.

Spread risk — An ETP might sometimes trade at a premium or discount to its net asset value (NAV). The premium or discount to NAV can lead to differences between the bid and ask of the ETP, referred to as the spread. The ETP's premium or discount to NAV and its bid and ask spread might be the result of factors such as supply and demand in the market, the lack of liquidity for the ETP of some of its underlying securities, or the bid and ask spreads of the ETP's underlying securities. For exchange-traded notes, the discount or premium is relative to their indicative value.

Tracking error risk — The return of an index-based ETP is usually different from that of the index it tracks. The difference can be small or large and might result from the cost of managing and operating the ETP, the timing of the ETP's trades, the ETP's holding a smaller basket of securities than the complete set of securities held by the index, or the ETP's holding securities in a different proportion from the index.

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